Investment bonds have some very good advantages:

- They're an easy-peasy way of regularly investing small amounts of money into shares, via a regular direct debit monthly savings plan. You can increase your yearly contributions by 25 per cent each year.
- Anyone—parents, grandparents, family, friends—can contribute.
- And best of all, they're really simple—just 'set and forget'. You don't even have to worry about including anything in your tax return because it's a 'tax-paid investment'. (To be exact, tax is paid on the investment income and realised gains at a rate of 30 per cent, by the bond issuer—not the investor.)
- They have the legal power of a 'real' trust fund (like Paris Hilton has) without going through the significant cost and hassle of setting one up (the money in the investment bond bypasses your will and goes straight to your nominated beneficiary).

So, which investment bond should you choose?

It's fair to say that there are a lot of terrible investment bond providers in the market. The worst are a complete rip-off, like the Australian Scholarships Group (ASG).

According to my research, at the time of writing, the three cheapest investment bonds (in no particular order) are:

- Generation Life LifeBuilder Bond
- AMP Growth Investment Bond
- Australian Unity Lifeplan Investment Bond.

Honestly, there's not much that separates these three—the main thing being that each requires slightly different minimum opening balances and charges different fees.

Again, I get no commissions, no kickbacks and no footy tickets—this is just my research. You should do your own. My suggestion? Call them all up and